Development Board) are often available after extensive paperwork and slow processing. Moreover, the experience from other countries is that new venture finance is often an activity better left to the private sector, with the government facilitating the way or piggy-backing on private funding rather than actually taking the lead.

To the extent large banks are concerned, with remote central offices they tend to have bureaucratic procedures for loan approvals, and limit discretionary authority for branch officers. As a result, small and medium enterprises, which tend to have short and largely informal track records, find it hard to fulfil the norms for obtaining credit.[12] Moreover, conversations with bankers and business people suggest that large banks exert less effort in trying to help a small troubled firm than they would a larger client. As a result, in countries with more varied banking systems, small firms tend to migrate to smaller banks for assistance.[13] Better funding to MSMEs can happen with the presence of more small local banks in India.

A vibrant *corporate bond market* could serve more in this scenario. Even then the MSMEs will not be able to issue bonds, but as large firms will migrate to the 'bond route' (as they are typically cheaper) it will make space on the bank balance sheets for MSME loans.

Lack of Quality Infrastructure

The lack of quality infrastructure (roads, utilities, real estate, logistics) increases transaction costs disproportionately for MSMEs which typically cannot create customised alternatives such as access roads and captive power plants which larger firms can. Absence of this supporting infrastructure causes *greater cash burn* and distraction of management from core business operations. One constraint in creating infrastructure or setting up businesses is **land acquisition**. A number of reforms are needed or are on the anvil (see the next sub-title *'Land Reforms'*) to ensure that land is less of an impediment to growth.

Land Reforms